

	“A duty to speak may arise in four ways: it may be directly imposed by statute or other prescriptive law; it may be voluntarily assumed by contractual undertaking; it may arise as an incident of a relationship between the defendant and the plaintiff; and it may arise as a result of other conduct by the defendant that makes it wrongful for him to remain silent.” (<i>SCC Acquisitions, Inc. v. Central Pac. Bank</i> (2012) 207 Cal.App.4th 859, 860.) There are “four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts. [Citation.]” (<i>LiMandri v. Judkins</i> (1997) 52 Cal.App.4th 326, 336.) “If the duty allegedly arose by virtue of the parties’ relationship and defendant’s exclusive knowledge or access to certain facts, . . . the complaint must also include specific allegations establishing all the required elements, including (1) the content of the omitted facts, (2) defendant’s awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant’s omission. ‘[M]ere conclusionary allegations that the omissions were intentional and for the purpose of defrauding and deceiving plaintiff[] . . . are insufficient for the foregoing purposes.’ (<i>Goodman [v. Kennedy]</i> (1976) 18 Cal.3d 335,] 347.)” (<i>Rattagan v. Uber Technologies, Inc.</i> (2024) 17 Cal.5th 1, 43–44.) Here, the FAC alleges facts supporting a duty to disclose by Defendants; the FAC alleges Defendants made partial representations (i.e., that the restaurant could continue operations seamlessly) while suppressing material facts (i.e., that the restaurant had no code-compliant ventilation system). The FAC, however, does not allege facts showing that concealment caused Plaintiff damage, as the alleged partial representations took place during a meeting in mid-April 2023—after Plaintiff had purchased the restaurant. (<i>See</i> FAC ¶¶ 13, 21.) In other words, the FAC does not allege sufficient facts to support a duty to disclose prior to sale.
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Second and Third Causes of Action (Intentional and Negligent Misrepresentation)

The second and third causes of action allege that, prior to the sale, Defendants In Joo Chung and James Chung (collectively, the “Chung Defendants”) orally misrepresented that the Restaurant’s existing hood system was adequate and lawful for grilling meats and other grease-laden foods; that the Restaurant was fully compliant with all health and safety regulations; that the business as operated could continue without interruption or modification; and that the equipment listed in the Bill of Sale, including two photo booths, was functional and included in the purchase. (FAC ¶¶ 58-59, 76-77.) The third cause of action alleges the Chung Defendants had no reasonable grounds to believe these representations to be true. (FAC ¶ 78.)

The elements of a cause of action for fraud are: (i) misrepresentation; (ii) defendant’s knowledge of the statement’s falsity; (iii) defendant’s intent to defraud; (iv) plaintiff’s justifiable reliance; and (v) resulting damage. (*Chapman v. Skype Inc.* (2013) 220 Cal.App.4th 217, 230-231; Witkin Summary of Cal Law, Torts § 676.) Fraud must be pleaded with specificity. (*Committee on Children’s Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216, superseded by statute on another ground as stated in *California for Disability Rights v. Mervyn’s, LLC* (2006) 39 Cal.4th 223, 227.) California’s heightened pleading rule serves two purposes: (1) to put the defendant on notice, to “furnish [it] with certain definite charges which can be intelligently met”; and (2) to weed out nonmeritorious actions. (*Id.*)

The elements of a cause of action for negligent misrepresentation are: (i) A false statement of material fact that the defendant honestly believes to be true, but made without reasonable grounds for such belief; (ii) made with the intent to induce reliance; (iii) plaintiff’s reasonable reliance on the statement; and (iv) damages. (*Century Surety Co. v. Crosby Ins.* (2004) 124 Cal.App.4th 116, 129.) Negligent misrepresentation must be alleged with the same particularity required to plead fraud. (*Small v. Fritz Cos Inc.* (2003) 30 Cal.4th 167, 184.) The pleading must allege how, when, where, to whom and by what means the representations were tendered. (*Id.* at 184.)

Here, the FAC does not allege with sufficient specificity which defendant made the alleged misrepresentations, where, and when.